

**Time:** 5 minutes**Outcome:** Calculate Income Elasticity of Demand.**Difficulty:** ●●○ Intermediate

Income Elasticity of Demand



THE CORE IDEA

Income elasticity measures the percentage change in quantity demanded divided by the percentage change in income, holding prices fixed. A normal good has positive income elasticity: demand rises with income. An inferior good has negative income elasticity: demand falls as income rises. Among normal goods, elasticity above one indicates a luxury and between zero and one a necessity.



HOW TO RECOGNIZE IT

- Demand for restaurant meals rises when consumer income rises.
- A small percentage demand response relative to income means an income elasticity near zero.
- Household income rises and demand for bus rides falls.
- A retailer estimates income elasticity for its store brand at -0.6.
- Demand for a normal good rises as income rises.



WATCH OUT

A common mistake is to misread the sign of income elasticity. A positive coefficient identifies a normal good; a negative coefficient identifies an inferior good.



WORKED EXAMPLE: CALCULATING INCOME ELASTICITY

Household income rises by 10%, and demand for restaurant meals rises by 15%. Income elasticity is $15\% / 10\% = 1.5$. The positive sign identifies restaurant meals as a normal good, and the coefficient above 1 indicates that demand responds more than proportionally to income in this example.



CHECK YOURSELF

Income changes by 5 percent and demand for premium gym memberships changes by 8 percent. What is income elasticity of demand?

**READY?**

Return to the game and master this concept.